

21STCV13868 21STCV13868

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Case Number: 21STCV13868 Hearing Date: July 31, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: July 31, 2026

Case Name: Debreu, et al. v. The TCW Group, Inc., et al.

Case No.: 21STCV13868

Matter: Demurrer

Moving Party: Defendants Nippon Life Insurance Company and NLI US Investments,

Inc.

Responding Party: Plaintiffs Stanislas Debreu, individually and as co-trustee of The Debreu

Family Living Trust Dated April 3, 2013, and Elizabeth Byrne Debreu, as Co-trustee of The Debreu Family Living Trust Dated April 3, 2013

Notice: OK

Ruling: The Demurrer is sustained, without leave to amend.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

On April 28, 2022, Plaintiffs Stanislas Debreu, individually and as co-trustee of The Debreu Family Living Trust Dated April 3, 2013, and Elizabeth Byrne Debreu, as Co-trustee of The Debreu Family Living Trust Dated April 3, 2013, filed the operative Second Amended Complaint ("SAC") against Defendants The Carlyle Group, L.P., Carlyle Partners V, L.P., Carlyle Financial Services Harbor, L.P., Carlyle Partners V-A, L.P., CP V Coinvestment A, L.P., CP V Coinvestment B, L.P. and Carlyle-Clipper Coinvestment, L.P., David Lippman, Laird Landmann, Tad Rivelle, Meredith Jackson, TCW Group, Inc., TCW Owners, LLC, Clipper Holding, L.P., Clipper G.P., LLC, Nippon Life Insurance Company, NLI US Investments, Inc., and Jess M. Ravich for (1) constructive fraud, (2) conversion, (3) conspiracy to commit conversion, (4) unjust enrichment, (5) breach of written contract, (6) breach of the implied covenant of good faith and fair dealing, and (7) declaratory relief.

Plaintiffs "seek redress . . . for the theft and conversion of approximately \$2.5 million, accomplished through a fraudulent scheme to strip Plaintiffs of contractual 'Tag Along Rights' that protected the value and liquidity of their minority partnership interests. The Tag Along Rights provided that whenever certain limited partners comprising a majority sold their partnership interests to a third-party, Plaintiffs had the option of selling their minority interests on the same terms, at the same price, and in the same proportions." (SAC ¶ 1.)

This matter returns to the Superior Court following a reversal by the Court of Appeal in appellate case number B324314.

Defendants Nippon Life Insurance Company and NLI US Investments, Inc. now demur to the second and third causes of action for conversion and conspiracy to convert for failure to state sufficient facts.

When considering demurrers, courts read the allegations liberally and in context, and "treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (Serrano v. Priest (1971) 5 Cal.3d 584, 591.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) It is error "to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment." (Aubry v. Tri-City Hospital Dist., (1992) 2 Cal.4th 962, 967.)

As a threshold matter, the Court addresses the applicable law. The Court of Appeal's remand order is clear and binding: this Court "shall determine whether New York or California law, or a combination of the two, applies to the operative complaint" and "then determine whether each cause of action is sufficiently pleaded."

The disposition explicitly limits the choice to California and New York law. Delaware law may not be applied at the demurrer stage. Nippon Defendants' argument that Delaware law controls is foreclosed by the appellate mandate. When an appellate court remands with specific directions, those directions are binding on the trial court and must be followed. Any material variance from the directions is unauthorized and void. The trial court is empowered to act only in accordance with the direction of the reviewing court.

As between California and New York law, the Court finds California law governs Plaintiffs' tort claims against the Nippon Defendants. The Nippon Defendants are not parties to the 2013 Management Security Holders Agreement ("2013 MSA"), which contains a New York choice-of-law provision. A contractual choice-of-law clause does not typically bind non-signatories. The Court of Appeal noted that "not all the defendants are parties to the 2013 MSA, and it is unclear whether they would be subject to the New York choice of law provision."

California applies the governmental interest analysis to tort claims. The relevant contacts point decisively to California: Plaintiffs are California residents residing in Los Angeles County; the alleged wrongful conduct was conceived and executed

at TCW's Los Angeles headquarters; the Individual Defendants lived and worked in Los Angeles County; and the injury was suffered in California. California has a strong interest in applying its conversion and conspiracy law to protect its residents from tortious conduct committed within its borders. New York has no meaningful connection to these tort claims—no challenged conduct occurred there and no injury was felt there. Accordingly, the Court applies California law to analyze the tort claims against the Nippon Defendants.

The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066.)

Plaintiffs argue that their Original Clipper partnership units were "forcibly converted" into TCW Owners LLC units of inherently less value via a "sham merger" designed to bypass Tag-Along rights.

This claim fails as a matter of law. When an entity merges or restructures, equity interests are modified, exchanged, or diluted by operation of corporate law. Conversion requires the wrongful taking or total expropriation of a specific, identifiable property interest (See *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151.) Where the core grievance is that a restructuring left plaintiffs holding equity that is diluted, constrained, or of inherently less value because key contractual privileges (Tag-Along rights) were removed, the law categorizes the injury as an economic loss governed by breach of contract or breach of fiduciary duty against the proper defendants. Tag-Along Rights are contractual incidents of ownership—they do not constitute the equity interest itself but rather contractual protections regarding how that interest may be sold in certain circumstances. The 2013 MSA granted Significant Management Holders the right to participate pro rata in third-party sales by majority investors. Debreu's claim is not that he was prevented from selling his units altogether. Rather, he alleges that his Class A-2 limited partnership units were converted into membership units in TCW Owners LLC through the merger; the new membership units lacked the tag-along protections previously attached to his Class A-2 units; and as a result, when the 2013 Carlyle Investors sold their interests, he could not participate on the same terms.

This sort of diminution in the value of equity interests through corporate transactions does not state a conversion claim. Conversion is the wrongful exercise of dominion over specific, identifiable property—not a remedy for loss of asset value or component benefit. Indeed, "a mere contractual right of payment, without more, will not suffice." (*Farmers Ins. Exch. v. Zerin* (1997) 53 Cal.App.4th 445, 452.)

The Court finds that the conversion claim fails because Plaintiff failed to allege a valid property interest that was interfered with for the purposes of this tort.

Because the underlying conversion claim fails, so too does the derivative third cause of action for conspiracy to convert.

In sum, the Demurrer is sustained, without leave to amend.

The RJN is granted as to Exhibits 1 and 7; the RJN is otherwise denied.

Moving party to give notice.